

Interview Feedback

Brew & Bean Profitability · 2026-10-06 · Overall: adequate

Top improvement

Lead with a committed hypothesis and prioritization instead of eight-item data requests. Then size the recommendation against the full 18-point gap: show that a 5% price increase recovers only about 5 points, and state how pricing, procurement and other levers combine to close the rest.

Rubric Scores

Problem Structuring

adequate

What needs work

Once prompted, the candidate laid out a recognizable profit tree, splitting revenue into volume × price drivers and listing the main cost lines, but skipped structuring at the start and went straight to an eight-item data request, so the framework appeared only after the interviewer asked for one.

"Before I structure it, could I get a few data points?"

"At a high level I'd split profit into revenue and costs. On revenue, volume times price — store count, transactions per store, average ticket."

The candidate opened with a sensible directional read that falling margin amid revenue growth points to costs, but when asked directly which branch to prioritize, declined to commit to that as a hypothesis.

"On where to start, I'd rather let the data point me there than guess."

"Okay, so profit is revenue minus costs, and revenue is up while margin is down, which points at costs."

The cost side is a generic list under a fixed/variable label rather than tailored, non-overlapping buckets for a coffee chain, such as input costs split into beans, dairy, packaging and food. There was no pricing-power or competitor-context branch.

"On costs, fixed versus variable: COGS, labor, rent, marketing, corporate overhead, and then any one-time items like new store buildouts or impairments."

Missed opportunities

Turn 4: the interviewer asked whether the structure was MECE and which branch to prioritize first, and why.

A great answer: "I'd start with COGS. Revenue grew 15% yet margin fell 18 points, so the problem is cost growing faster than revenue. For a coffee chain, the most volatile line is inputs like beans and dairy, and the key question is whether menu prices kept pace. My hypothesis: input inflation with no price pass-through. I'd check labor second, because wage pressure is the other common culprit."

Quantitative & Analytical Rigor

adequate

What went well

The candidate built a correct weighted-average inflation figure and used it to reconcile the observed COGS ratio exactly.

"Weighted: $0.25 \times 40\% + 0.75 \times 37.5\% = 10\% + 28.1\% = 38.1\%$ overall COGS inflation."

"They fit almost exactly. Take $42\% \times 1.381 = 58.0\%$."

The candidate sanity-checked the margin bridge and correctly sized the COGS margin gap in dollars at about \$77M.

"So 16 plus 2 equals 18, which exactly matches the margin drop from 24% to 6%. The pieces reconcile, so nothing's hiding elsewhere."

"For scale, COGS at 58% is \$278.4M, and had it stayed at 42% it'd be \$201.6M — so roughly \$77M of the gap sits there."

What needs work

The 5% price increase was asserted, never derived from the size of the gap. It recovers only about 5 of the 18 points lost, and the candidate never said how large an increase would restore margin.

"But pricing is the big one. On \$480M, a 5% price increase is \$24M of near-pure margin, roughly 5 points."

The candidate reached a correct contribution-based volume breakeven of roughly 10% for a 5% price rise ($5 / (42 + 5) = 10.6\%$), but improvised the setup mid-sentence instead of laying out the formula first.

"so the breakeven on volume decline is roughly $5\% \div \dots$ actually it's contribution-based"

"Rough breakeven is around 10% volume loss, so I'd have real room."

Missed opportunities

Turn 15/19, when the candidate proposed a 5% price increase.

A great answer: "To size the price lever: with labor and overhead held in dollars, getting back to a 24% margin needs $(100(1+p) - 94) / (100(1+p)) = 24\%$, so p is about 24%. Just offsetting the 16-point COGS creep needs prices up about 38%. A 5% increase therefore closes only about 5 points. Pricing has to be paired with procurement, or rolled out in steps and targeted at less price-sensitive items."

Data & Exhibit Interpretation

strong

What went well

The candidate named COGS as the driver of 16 of the 18 points and ruled out labor.

"COGS is the branch — it moved 16 points of the 18, and labor is flat, so that's where it is."

The candidate tested whether beans could explain the increase and correctly concluded the inflation is broad-based, with beans only a quarter of COGS, but never converted that split into points of revenue (about 4.2 for beans vs 11.8 for other inputs), which would have made the attribution sharper for a client.

"So it's broad-based across beans, dairy, packaging, food — beans aren't the villain, they're a quarter of it."

"And the math says it isn't just coffee."

The candidate read the trend shape and drew the pricing implication, including why the higher average ticket doesn't help margin.

"The exhibit shows it's a steady climb, 42 to 50 to 58, about 8 points a year, not a one-time shock."

"A \$6.20 to \$6.80 ticket from volume is margin-neutral; only a price increase would have moved the percentage."

Missed opportunities

Turn 11, while attributing the COGS increase.

A great answer: "In revenue terms, beans were about 10.5% of revenue, so a 40% rise adds roughly 4.2 points. The other inputs were about 31.5% of revenue and rose 37.5%, adding roughly 11.8 points. That means procurement has to cover dairy, packaging and food, not just beans."

Business Judgment & Insight

adequate

What went well

The candidate identified the core commercial dynamic: input inflation with no price pass-through, and the higher ticket coming from item mix rather than price.

"A \$6.20 to \$6.80 ticket from volume is margin-neutral; only a price increase would have moved the percentage."

The candidate proactively raised elasticity risk and proposed a controlled pilot with a clear decision rule.

"Risks: elasticity is unknown and volume could drop, so I'd pilot across a subset of stores first and measure transaction counts before rolling national."

"Roll out if transaction counts fall under that breakeven and gross profit dollars per store rise."

What needs work

The 5% price figure was neither justified nor tested against the 18-point problem, so the plan leaves most of the margin gap unaddressed without acknowledging it.

"So: a 5% price increase on \$480M is roughly \$24M, about 5 margin points."

Recovering the overhead creep was recommended without any view of what drove it, which makes it a weakly grounded lever.

"Pair it with procurement renegotiation and the 2-point overhead creep, worth \$9.6M."

Missed opportunities

Turn 19, when building the recommendation.

A great answer: "Pricing alone can't realistically recover 18 points. I'd take targeted increases on the items customers are least sensitive to, such as specialty drinks. I'd add procurement on dairy, packaging and food, which drive about three-quarters of the inflation, and take the rest through mix and waste. Overhead I'd leave until we know what drove the 2-point creep."

Creativity & Brainstorming

adequate

What went well

The candidate explicitly prioritized pricing as the biggest lever.

"But pricing is the big one. On \$480M, a 5% price increase is \$24M of near-pure margin, roughly 5 points."

What needs work

The candidate produced several distinct levers, including less obvious ones like private label on packaging and mix shift away from milk-heavy drinks, but presented them as a flat numbered list rather than organized buckets, and no revenue/pricing lever went beyond a flat across-the-board increase.

"Beyond pricing, a few levers. One, procurement"

"One, procurement — renegotiate or consolidate vendors, lock in longer contracts or hedge beans, explore private label on packaging and food."

"Three, mix shift — push higher-margin items like brewed coffee and retail beans over milk-heavy drinks."

Missed opportunities

Turn 15, when asked what else Brew & Bean could do.

A great answer: "I'll group ideas into revenue levers and cost levers. Revenue: tiered or targeted pricing on specialty drinks, upcharges for alternative milks, and bundles. Cost: procurement across all inputs, waste, and recipe standardization. Then I'd rank them by impact and speed."

Synthesis & Recommendation

strong

What went well

The candidate led with a clear recommendation and supported it with reasons drawn from the analysis.

"My recommendation is to raise menu prices — that's the root cause and the fastest fix."

"Input costs rose 38% across the board — beans up 40%, everything else up 37.5% — and $42\% \times 1.381$ gets you to 58%, so inflation explains the decline entirely."

The candidate named the key risk and a concrete next step.

"Risks: elasticity is unknown and volume could drop, so I'd pilot across a subset of stores first and measure transaction counts before rolling national."

What needs work

The sizing didn't add up to the problem: a 5-point price lever plus vague secondary levers, with no statement of how much of the 18 points the plan recovers.

"Pair it with procurement renegotiation and the 2-point overhead creep, worth \$9.6M."

Missed opportunities

Turn 19, closing the recommendation for the CEO.

A great answer: "Together, targeted price increases and input procurement should recover the majority of the 18 points over 12 to 18 months. We start with a pilot of a few weeks, and I'll report back on where elasticity actually lands."

Communication & Delivery

adequate

What needs work

Nearly every turn ended in a reflexive eight-item data request, much of it irrelevant to the hypothesis. This dilutes the message and signals a lack of focus.

"Six, average customer wait time. Seven, employee turnover rate."

"Six, rent escalators. Seven, insurance costs. Eight, D&A."

The candidate's mid- and late-case answers were top-down, leading with the conclusion and then the support, but early phrasing was data-led rather than hypothesis-led.

"On where to start, I'd rather let the data point me there than guess."

"COGS is the branch — it moved 16 points of the 18, and labor is flat, so that's where it is."

"They fit almost exactly. Take $42\% \times 1.381 = 58.0\%$."

Missed opportunities

Turn 1, the opening.

A great answer: "The objective is to find why margin fell 18 points despite 15% revenue growth, and how to fix it. My hypothesis is costs outpaced prices, so I'll structure around price, volume and cost lines, and I'll start by asking for the cost lines as a percent of revenue."

Pushback, Composure & Case Leadership

adequate

What went well

When challenged on how the 38.1% inflation fits the COGS ratio, the candidate held the position and proved it with clear reasoning.

"They fit almost exactly. Take $42\% \times 1.381 = 58.0\%$."

"A \$6.20 to \$6.80 ticket from volume is margin-neutral; only a price increase would have moved the percentage."

When probed on loose phrasing, the candidate owned it, clarified, and redirected to where the real money sits.

"Sorry, I was loose there."

"That's where the real money is, and it dwarfs overhead."

When asked about risk, the candidate drove to a concrete pilot design and decision rule.

| *"Decision rule from the pilot: run 20 stores, 8–12 weeks, matched control stores."*

What needs work

The candidate was passive about leading the case: the direct prioritization prompt was deflected, and each turn ended in data requests instead of a proposed next analysis.

| *"On where to start, I'd rather let the data point me there than guess."*

Missed opportunities

Turn 4, when the interviewer asked which branch to prioritize.

A great answer: "I'll commit: COGS first. With revenue up and margin down 18 points, input-cost inflation without price pass-through is the most likely story. Next, I'd compare COGS as a percent of revenue across the two years, then check menu price history."

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a moment, then walk me through how you'd approach this.

Candidate · 1:15

Okay, so profit is revenue minus costs, and revenue is up while margin is down, which points at costs. Before I structure it, could I get a few data points?

One, the full cost breakdown by line item for both years. Two, COGS as a percent of revenue. Three, labor costs per store. Four, rent and occupancy costs. Five, the number of stores two years ago versus today. Six, average customer wait time. Seven, employee turnover rate. Eight, the mix of revenue between drinks, food, and retail beans.

That would let me see where the eighteen points of margin went.

Interviewer · 1:18

Before I give you any data, I want to see how you'd organize the problem. I don't have average customer wait time, employee turnover rate or the revenue mix between drinks, food, and retail beans. I'll come back to the full cost breakdown by line item for both years, COGS as a percent of revenue, labor costs per store, rent and occupancy costs and the number of stores two years ago versus today shortly. Take a minute if you need it, then walk me through your structure for finding the root cause.

Candidate · 2:44

Sure. At a high level I'd split profit into revenue and costs. On revenue, volume times price — store count, transactions per store, average ticket. On costs, fixed versus variable: COGS, labor, rent, marketing, corporate overhead, and then any one-time items like new store buildouts or impairments.

To actually drive that, could I get a few more things? One, average ticket size by year. Two, transactions per store per day. Three, coffee bean commodity prices over the two years. Four, menu price changes by year. Five, wage rates per hour by market. Six, marketing spend. —sorry, seven, same-store sales growth. Eight, capex on new store openings.

Those would let me pin down which line moved.

Interviewer · 2:47

Okay. I don't have transactions per store per day, wage rates per hour by market, marketing spend, same-store sales growth or capex on new store openings. I'll come back to average ticket size by year, coffee bean commodity prices over the two years and menu price changes by year shortly. Looking at that structure as a whole, is it MECE, and which branch would you prioritize first, and why?

Candidate · 4:18

I think it's broadly MECE — revenue and cost don't overlap, and within cost I've split fixed and variable. There may be a little overlap between corporate overhead and marketing, so I'd fold marketing under overhead.

On where to start, I'd rather let the data point me there than guess. Could I get a few more items? One, gross margin by year. Two, EBITDA by year. Three, store-level P&L for a typical location. Four, number of employees per store. Five, delivery and third-party app fees. Six, packaging and cup costs. Seven, utilities per store. Eight, any franchise versus company-owned split.

And separately, if it exists, a split of the single largest cost line into its components — that's probably where the eighteen points sit.

Interviewer · 4:22

Okay. You asked about this earlier: COGS is 58% of revenue today, up from 42% two years ago. Labor is 22% of revenue, and it's been stable. Overhead is 14% of revenue, up slightly from 12%. I don't have gross margin by year, EBITDA by year, a store-level P&L for a typical location, number of employees per store, delivery and third-party app fees, packaging and cup costs, utilities per store or a franchise versus company-owned split. I'll come back to the number of stores two years ago versus today and a split of the single largest cost line into its components shortly. You said you'd let the data point you rather than guess. Given what you know about the client so far, which branch is your starting hypothesis, and what would you expect that data to show?

Candidate · 5:47

COGS is the branch — it moved 16 points of the 18, and labor is flat, so that's where it is. My hypothesis is input costs rose, most likely green coffee beans or dairy, and menu prices didn't move with them.

To confirm, could I get: one, the COGS split into beans, dairy, food, and packaging. Two, bean cost per pound by year. Three, dairy cost per gallon by year. Four, waste and spoilage rate. Five, supplier contract terms and whether any hedges rolled off. Six, menu price changes by year. Seven, average ticket by year. Eight, units sold by year.

If beans and dairy are most of COGS and prices held flat, that's the answer.

Interviewer · 5:51

Okay. Coming back to what you asked for earlier: Coffee beans were 25% of COGS two years ago. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years. Raw coffee bean costs are up 40% over the past two years. I don't have waste and spoilage rate, supplier contract terms and hedges or units sold by year. I'll come back to menu price changes by year, average ticket by year and the number of stores two years ago versus today shortly. You said COGS moved 16 of the 18 points. Walk me through how you got that, and what base those points are measured against.

Candidate · 7:20

Both are measured as a percent of revenue, so they're directly comparable. COGS went from 42% to 58% of revenue, that's 16 points. Overhead went 12% to 14%, 2 points. Labor flat at 22%. So 16 plus 2 equals 18, which exactly matches the margin drop from 24% to 6%. The pieces reconcile, so nothing's hiding elsewhere.

Could I also get: one, menu price changes by year. Two, average ticket by year. Three, beans as a percent of COGS today versus the 25% two years ago. Four, dairy as a share of COGS. Five, revenue in absolute dollars for both years. Six, store count both years. Seven, cost per cup. Eight, whether they tried any price increases and how customers responded.

Interviewer · 7:23

Okay. On what you asked about earlier: Menu prices have not changed in two years. The average transaction is \$6.80, up from \$6.20 two years ago — about a 10% increase, because customers are buying more items per visit. 200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed. Take a look at this: Brew & Bean Cost Structure Over Time. I don't have beans as a percent of COGS today, dairy as a share of COGS, cost per cup or price increase attempts and customer response. I'll come back to revenue in absolute dollars for both years shortly. Take a look at this exhibit. What does it tell you about where the COGS increase is coming from?

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 8:53

The exhibit shows it's a steady climb, 42 to 50 to 58, about 8 points a year, not a one-time shock. So it's ongoing input inflation, not a single bad contract.

And the math says it isn't just coffee. Beans were 25% of COGS and rose 40%; the other 75% rose 37.5%. Weighted: $0.25 \times 40\% + 0.75 \times 37.5\% = 10\% + 28.1\% = 38.1\%$ overall COGS inflation. So it's broad-based across beans, dairy, packaging, food — beans aren't the villain, they're a quarter of it. And with menu prices flat for two years, none of that got passed through.

Could I get: one, revenue in absolute dollars both years. Two, competitor pricing. Three, price elasticity estimates. Four, customer loyalty data. Five, regional cost variation. Six, 2024 bean futures. Seven, vendor concentration. Eight, any private-label options.

Interviewer · 8:57

Okay. You asked about this earlier: Total revenue is \$480M a year. I don't have competitor pricing, price elasticity estimates, customer loyalty data, regional cost variation, 2024 bean futures, vendor concentration or private-label options. You say the 38.1% overall input inflation went unpassed because menu prices are flat, yet COGS rose from 42% to 58% of revenue. Walk me through how those two figures fit together, given that revenue per transaction rose.

Candidate · 10:27

They fit almost exactly. Take $42\% \times 1.381 = 58.0\%$. That's the observed number. So the entire COGS increase is explained by input inflation with zero price pass-through — nothing else is needed.

And the ticket increase doesn't help, because it came from customers buying more items, not paying more per item. More items means proportionally more cost, so revenue and COGS scale together and the ratio stays put. A \$6.20 to \$6.80 ticket from volume is margin-neutral; only a price increase would have moved the percentage.

Could I get: one, items per transaction both years. Two, transaction count. Three, revenue two years ago. Four, gross profit dollars. Five, store-level breakeven. Six, discount and promo spend. Seven, loyalty program economics. Eight, any menu engineering data.

Interviewer · 10:30

Okay. I don't have items per transaction both years, transaction count, revenue two years ago, gross profit dollars, store-level breakeven, discount and promo spend, loyalty program economics or menu engineering data. Beyond what we've discussed so far, what else could Brew & Bean do to reverse this margin decline?

Candidate · 12:00

Beyond pricing, a few levers. One, procurement — renegotiate or consolidate vendors, lock in longer contracts or hedge beans, explore private label on packaging and food. Two, waste reduction, since spoilage on dairy and food runs straight through COGS. Three, mix shift — push higher-margin items like brewed coffee and retail beans over milk-heavy drinks. Four, portion and recipe standardization. Five, overhead, which crept 12 to 14 points and is worth \$9.6M on \$480M.

But pricing is the big one. On \$480M, a 5% price increase is \$24M of near-pure margin, roughly 5 points.

Could I get: one, current COGS dollars. Two, overhead breakdown. Three, waste rate. Four, item-level margins. Five, supplier contract lengths. Six, brand premium data. Seven, peer margin benchmarks. Eight, any pilot test capability?

Interviewer · 12:03

Okay. I don't have current COGS dollars, overhead breakdown, waste rate, item-level margins, supplier contract lengths, brand premium data, peer margin benchmarks or pilot test capability. You said overhead is worth \$9.6M on \$480M. Walk me through that.

Candidate · 13:34

Sorry, I was loose there. Overhead at 14% of \$480M is \$67.2M total. What I meant is the increase: overhead went from 12% to 14%, so 2 points on \$480M is \$9.6M of annual profit that's leaked out since two years ago. That's the recoverable piece, not the whole line.

For scale, COGS at 58% is \$278.4M, and had it stayed at 42% it'd be \$201.6M — so roughly \$77M of the gap sits there. That's where the real money is, and it dwarfs overhead.

Could I get: one, what's inside overhead — corporate versus store-level. Two, headcount at corporate. Three, tech or systems spend. Four, any new initiatives launched in the last two years. Five, G&A per store. Six, rent escalators. Seven, insurance costs. Eight, D&A.

Interviewer · 13:37

Okay. I don't have what's inside overhead, corporate headcount, tech or systems spend, new initiatives launched in the last two years, G&A per store, rent escalators, insurance costs or D&A. The CEO walks in and asks for your recommendation in a couple of minutes. What do you tell them?

Candidate · 15:07

My recommendation is to raise menu prices — that's the root cause and the fastest fix.

Here's the logic. Margin fell 18 points, from 24% to 6%. COGS accounts for 16 of those, rising 42% to 58% of revenue. Input costs rose 38% across the board — beans up 40%, everything else up 37.5% — and $42\% \times 1.381$ gets you to 58%, so inflation explains the decline entirely. Meanwhile menu prices haven't moved in two years. Ticket is up from \$6.20 to \$6.80, but that's more items per visit, which is margin-neutral.

So: a 5% price increase on \$480M is roughly \$24M, about 5 margin points. Pair it with procurement renegotiation and the 2-point overhead creep, worth \$9.6M.

Risks: elasticity is unknown and volume could drop, so I'd pilot across a subset of stores first and measure transaction counts before rolling national.

Interviewer · 15:11

Okay. The COGS gap you sized earlier is closer to 76.8, not 9.6 for the overhead piece, so let's take that figure and keep going: the overhead creep is worth 9.6M, and the COGS gap is 76.8M. You named elasticity as a risk and proposed a pilot. What is the biggest risk to your recommendation, and how would you decide from the pilot results whether to roll it out?

Candidate · 16:41

Biggest risk is that a 5% price increase drives more than 5% volume loss — specialty coffee is discretionary and there's cheap competition. And because COGS is 58% of revenue, I only keep about 42 cents of each lost dollar, so the breakeven on volume decline is roughly $5\% \div \dots$ actually it's contribution-based: I'd lose 42% margin on departing transactions and gain 5 points on the rest. Rough breakeven is around 10% volume loss, so I'd have real room.

Decision rule from the pilot: run 20 stores, 8–12 weeks, matched control stores. Roll out if transaction counts fall under that breakeven and gross profit dollars per store rise. Watch repeat visit frequency, not just one-week shock.

Could I get: one, historical response to any prior price move. Two, competitor price points. Three, transaction counts by store. Four, regional demographics.

Interviewer · 16:42

Average revenue per store is \$2.4M a year. I don't have Competitor price points or Regional demographics. That's time. Thanks for working through it — your written report will follow.